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**Health Service Management- Assignment**

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## Introduction

The evolution of management theory has introduced several key schools of thought. Each one provides unique views and ideas. These continue to shape modern management practices.

The Classical School of Thought is something that stressed formal structures, lines of authority, and division of labor emerging in the late 19th and 20th centuries. Primary contributors to this school were Henri Fayol, Max Weber, and Frederick W. Taylor.

Scientific Management opened with the work of Frederick W. Taylor and ultimately centered on better economic efficiency, prefacing productivity of labor more particularly. Principles by Taylor in “The Principles of Scientific Management” include developing a science for every element of man's work, scientifically selecting and training workers, and harmonizing management and workers to cooperate. Studies in time and motion have shown inefficiencies to be eliminated through standardization of procedures as well as incentives that can be used to increase productivity discovered under Taylor's earlier approach.

Administrative Management as postulated by Henri Fayol and Max Weber deals with general administration plus organization of an enterprise overall. Fayol developed work under administrative management theory which included 14 principles covering division of work, authority and responsibility, discipline, unity of command and unity of direction, subordination of individual interest to general interest, remuneration, centralization scalar chain order equity stability of tenure initiative esprit de corps. Most emphases were on planning organizing commanding coordinating and controlling activities that later evolved into modern management practices.

Bureaucracy theory by Max Weber advocated hierarchical order inside clear rules plus impersonal relations within the organization. Key principles included hierarchy of authority, division of labor, written rules and regulations, impartiality, and career orientation. Weber's bureaucratic model, while criticized for its rigidity, underscored the importance of structure and order in managing large organizations.

The Behavioral Science Theory is of mid-20th-century origin, emphasizing human aspects in the management process and considering employees as social beings with complex motivations and needs. Elton Mayo's Hawthorne Studies brought to light how group dynamics or interpersonal relationship factors precipitated worker productivity or satisfaction. This was later broadened into the Human Relations Movement postulated on understanding employees' social and psychological needs. Among the theories postulated later was Abraham Maslow's Hierarchy of Needs theory that indicated people have needs at different hierarchical levels-the need for self-actualization which is a very high-level need. Management that wishes to motivate workers and keep them happy must recognize these needs and satisfy them appropriately. In today's management, different schools of thought are often combined to create a balanced approach that focuses on both organizational efficiency and employee well-being.

## Classical School of Thought in Management

Management has been used in organized efforts since early history; however, the formal study of management didn't begin until early in the twentieth century. Later the first studies of management, often called the classical approach, introduced emphasizing rationality and making organizations and workers as efficient as possible.

Three major theories compose the classical approach: Scientific management and Administrative management.

### A. Scientific Management:

Scientific management was born in 1911 with the publication of Frederick W. Taylor's *Principles of Scientific Management*. His studies conducted before and after the book's publication would establish Taylor as "the father of scientific management."

Scientific management is the use of scientific methods to define the "one best way" for a job to be done. It is a management theory that analyzes workflows to improve economic efficiency, especially labor productivity. Scientific management was best known from 1910 to 1920; however, many of the themes of scientific management are still seen in industrial engineering and management today.

It has four core principles that also apply to organizations today. These include the following:

- ✓ Look at each job or task scientifically to determine the "one best way" to perform the job. This is a change from the previous "rule of thumb" method where workers devised their own ways to do the job.
- ✓ Hire the right workers for each job, and train them to work at maximum efficiency.
- ✓ Monitor worker performance, and provide instruction and training when needed.
- ✓ Divide the work between management and labor so that management can plan and train, and workers can execute the task efficiently.

Frank along with his wife Lillian Gilbreth was prominent followers of Taylor. Frank studied work arrangements to eliminate wasteful hand-and-body motions. He is probably best known for his experiments in reducing the number of motions in bricklaying. The Gilbreths also experimented with the design and use of the proper tools and equipment for optimizing work performance. In addition, they also devised a classification scheme to label 17 basic hand motions which they called therbligs

### Advantages of Scientific management theory:

**Enhanced production:** There is fruitful cooperation between managers and workers and hence enhanced teamwork achieved. .

**Ability to control:** Employees become specialists in their field as they do the same task repeatedly; this makes it easy for the manager to have control over employees.

**Decreases inaccuracy:** the theory based on experiment and observation for context-specific solutions. It is with better planning and improved decision making,

**Cost of production reduced:** The mechanization and the latest use of technology in the production of goods decreases in per unit cost of production.

**Pay system:** payment is monitored based on piecework. Here incentives considered to enhance productivity and provide high wages for employees. With higher productivity, there is an increase in wages for employees.

**Efficiency increased:** Since scientific selection and training methods follow, it leads to a workforce that is best and enhances efficiency. It also increased with the standardization of techniques, tools, equipment, and materials.

**Limitations of scientific management theory:**

**Requires huge capital:** The establishment of work study, planning department, training of workers, and standardization requires more money.

**Management takes control:** Since the managers take up control of the employees, they lack creativity, another reason for this is that since they repeat the same task, their chore is meaningless, monotonous, and tedious which reduces employee motivation.

**Mechanistic:** The theory follows a specific approach for organizations and the employers gain control over the workers.

**Work division:** Since management takes complete responsibility, there is a reduction in workers' role in rigid and adherence procedures where the workers have no idea.

**Avoids bargaining:** Since the scientific approach follows the piece work pay system, there is no chance for any realistic bargaining regarding the wage rates, as the tasks timed, measured and rated scientifically.

**Wrong assumption:** Taylor's assumed that workers focus and motivated by employing financial gains.

**Follows narrow application:** The theory not adopted in the service sector as here the performance not measured quantitatively.

## **B. General Administrative Theories**

Another group of writers looked at the subject of management by focusing on the entire organization. They are important for developing broader theories of what managers do and what constitutes good management practice. Because their writings set the framework for many of our contemporary ideas on management and organization, this group and the scientific management group are frequently referred to as the classical theorists. The most prominent of the general administrative theorists were Henri Fayol and Max Weber.

### **14 principles of management of Henri Fayol - Administrative Management**

Henri Fayol, a French mining engineer, developed 14 principles of management based on his management experiences. These principles provide modern-day managers with general guidelines on how a supervisors should organize their department and manage their staff.

1. **Division of work:** Division of work and specialization produces more and better work with the same effort. This first principle is based on the theory that if an employee is given a specific task, they will become more efficient and skilled.
2. **Authority and responsibility:** Authority is the right to give orders and the power to exact obedience. Authority creates responsibility. If managers had no authority, they would lack the ability to get any work done. However, this authority should come along with responsibility and there should be a balance between authority and responsibility

3. **Discipline:** Obedience and respect within an organization are absolutely essential. Good discipline requires managers to apply penalty whenever violations become apparent. Managers need to build a culture of mutual respect to have disciplined employees. There should be a set of organizational rules, philosophies, and structures in place that everyone should meet.
4. **Unity of command:** An employee should receive orders from only one superior.
5. **Unity of direction:** Organizational activities must have one central authority and one plan of action.
6. **Subordination of individual interest to general interest:** The interests of one employee or group of employees should be subordinate to the interests and goals of the organization.
7. **Remuneration of personnel:** Salaries should be fair and provide satisfaction both to the employee and employer. Remuneration should include both financial and non-financial incentives. Also, a structure should be in place to reward good performance and motivate employees.
8. **Centralization:** Centralization refers to the concentration of power in the hands of the authority and following a top-bottom approach to management. In a modern context, no organization can be completely centralized or decentralized.
9. **Scalar chain:** A chain of authority exists from the highest organizational authority to the lowest ranks. This helps employees should know where they stand in the organization's hierarchy and who to go to in a chain of command.
10. **Order:** This principle states that there should be an orderly placement of resources (manpower, money, materials, etc.) in the right place at the right time. This ensures the proper use of resources in a structured fashion. Misplacement of any of these resources will lead to misuse and disorder in the organization.
11. **Equity:** Managers should use kindness and justice towards everyone they manage in an organizations.
12. **Stability of tenure of personnel:** an organization should minimize staff turnover and maximize efficiency. Any new employee cannot be expected to get used to an organization's culture right away.
13. **Initiative:** All employees should be encouraged to show initiative. Organizations should listen to the concerns of their employees and encourage them to develop and carry out improvement plans.
14. **Esprit de corps:** Teamwork is fundamentally important to an organization. Work teams and extensive face-to-face verbal communication encourages teamwork. Team spirit is a great source of strength in the organization.

#### Advantages of Administrative Management

1. Structured guidance: it gives a systematic set of principles for planning, organizing, and controlling work.
2. Specialization and Division of Labor: Principles like **division of labor** and **order** promote productivity and reduce duplication of effort.
3. Clear Lines of Authority and Unity of Command
4. Broader Perspective than Scientific Management

## Disadvantages of Administrative Management

1. Rigidity and Inflexibility
2. Impersonal Approach, Limited Focus on Workers: Focuses on structure and authority more than on employee.
3. It is still based on human application: Since humans can err and the theory depends on human coordination to create a strong management team, so mistakes can highly affect the entire strength of the team.
4. Potential for Slow Decision-Making

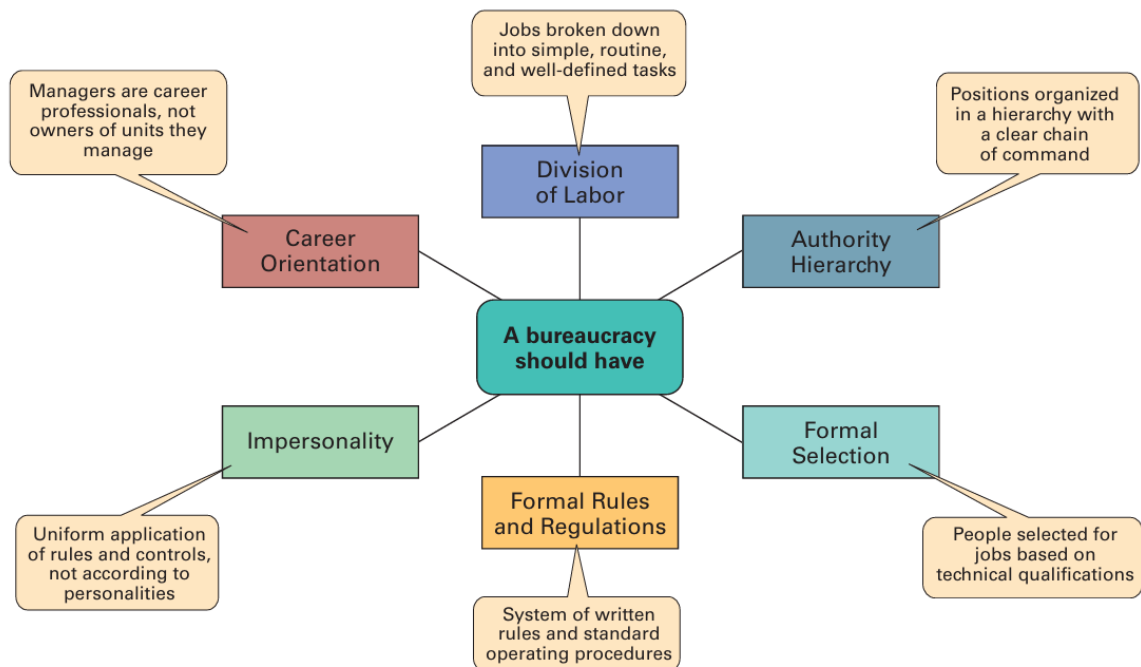
## Bureaucratic Management

It was developed by German sociologist Max Weber in the early 1900s.

He described an ideal type of organization he called a bureaucracy, which is a theory of authority structures and describes organizational activity based on authority relations. Weber recognized that this “ideal bureaucracy” didn’t exist in reality but rather represented a selective reconstruction of the real world. He meant it as a basis for theorizing about how work could be done in large groups. His theory became the design prototype for many of today’s large organizations.

### Key Principles of (Max Weber)

Weber believed bureaucracy was the most efficient and rational way to organize human activity. His model includes:



## Behavioral School of Management thought

A significant change in management philosophy is represented by behavioral science theory, which places more emphasis on social dynamics, human behavior, and motivation than task-oriented traditional methods. This theory focuses on the ways in which social and psychological elements affect worker performance and organizational effectiveness.

### **Origin and Initial Trials**

In the 1920s and 1930s, behavioral science theory came into being when managers realized how much human aspects affected organizational results. The Hawthorne Studies (1924–1932), carried out at Western Electric's Hawthorne plant in Illinois under the direction of Elton Mayo, serve as the foundation for this idea. These tests demonstrated the significance of social and psychological elements in influencing production.

#### **1. Experiments with Illumination (1924–1927)**

The effects of illumination settings on worker productivity were examined in these investigations. In order to predict that productivity would change with light intensity, researchers changed the lighting for a test group while maintaining the same lighting for a control group. The Hawthorne Effect, which states that employees perform better when they feel appreciated and watched, was introduced when productivity rose in both groups despite adjustments in lighting.

#### **2. Test Room Experiment on Relay Assembly (1927–1929)**

To evaluate the effect of work conditions, including rest periods, reduced hours, and group incentives, on productivity, a small group of female employees was isolated. Because employees felt appreciated and developed strong group cohesion, output steadily improved.

#### **3. The 1931–1932 Bank Wiring Room Experiment**

In order to investigate group norms, this experiment looked at male employees wiring telephone equipment. In order to escape management pressure, workers created informal standards that limited output, demonstrating how social norms affect performance.

The Human Relations Movement, which placed an emphasis on cooperation, communication, and employee satisfaction, was sparked by the Hawthorne Studies and was influenced by Mayo and Mary Parker Follett. The results contradicted traditional views by emphasizing that performance is influenced by social and psychological aspects in addition to wages.

### **Main Principles**

The foundation of behavioral science theory is the idea that human behavior and motivation should be given top priority in management. These ideas, which come from the Human Relations and Hawthorne Studies Movement, consist of:-

*Using Social and Psychological Needs to Motivate Employees:* Beyond monetary compensation, employees are motivated by self-worth, belonging, and recognition.

Links this to theories of motivation, pointing out that meeting social needs improves performance.

*Influence of Group Dynamics Performance:* Individual productivity is shaped by social interactions and team norms. The Hawthorne Studies demonstrated how productivity is impacted by norms and group cohesion.

*Participative Management and Communication:* Promoting open communication and involving staff members in decision-making strengthens commitment. This is emphasized by Follett's theories on reconciling divergent viewpoints.

*Styles of Leadership Impact Morale:* Skilled leaders modify their style (e.g., supportive or democratic) to accommodate the needs of their workforce.

## **Major Behavioral Science Theories in Management:**

### **1. Early advocates**

A number of individuals in the early twentieth century recognized the importance of people in organizational success and laid the foundations for the development of the behavioral theory. Some of these include Robert Owen, Hugo Münsterberg, Mary Parker Follett and Chester Barnard.

### **2. Maslow's Hierarchy of Needs**

Abraham Maslow's theory is based on three key assumptions. First, that human needs are never fully satisfied. Second, that behavior is goal-oriented and driven by the desire to meet these needs. And third, that needs can be ranked in a hierarchy from the most basic to the most advanced. Physiological, safety, belonging, esteem, and self-actualization. The lower-order needs (physiological, safety) are extrinsically satisfied, and the higher-order needs (belonging, esteem, self-actualization) are intrinsic. According to Maslow, each level in the needs hierarchy must be substantially satisfied before the next need becomes dominant. Managers use this in meeting employee needs and inspiring motivation.

### **3. McGregor's Theory X and Theory Y**

Douglas McGregor's Theory X assumes employees are unmotivated and need to be controlled, while Theory Y views them as motivated and capable. Management makes assumptions that are self-fulfilling prophecies, even though both theories can be effective situationally.

### **4. Herzberg's Two-Factor Theory**

Frederick Herzberg's theory differentiates between motivators (intrinsic factors to achieve) that cause satisfaction and hygiene factors (extrinsic factors to achieve policies) that prevent dissatisfaction.

A key insight from Herzberg's theory is that removing dissatisfaction does not automatically create satisfaction. In other words, the opposite of satisfaction isn't dissatisfaction, but rather "no satisfaction," and similarly, the opposite of dissatisfaction is "no dissatisfaction."

Management of motivators creates satisfaction, whereas treatment of hygiene factors prevents dissatisfaction.

### **5. McClelland's Three-Needs Theory**

David McClelland found three needs that are acquired: achievement (nAch), power (nPow), and affiliation (nAff). High achievers tend to avoid tasks they see as too easy or impossibly hard. Effective managers tend to be high in nPow and low in nAff, which can be measured by the Thematic Apperception Test.

### **Contributions and Criticisms**

Theories of behavioral science transformed management by focusing on human factors, which gave rise to practices such as performance-based rewards and human resource management. The Hawthorne Studies emphasized social influences, and Maslow, McGregor, Herzberg, and McClelland led motivation and leadership practices. Correcting distortions of the classical approach is also one contribution. However, behaviorism's focus on observable behaviors was criticized for the neglect of cognitive processes. There is no empirical support for Maslow's theory, Herzberg's approach is questioned, and McGregor's theories over-simplify complex realities. The behavioral approach can overemphasize human needs at the expense of organizational goals and lack universal application due to cultural differences. The approach facilitates exploitation of employees by keeping them satisfied and happy, manipulating their emotions which in fact, serves the management goal of increasing productivity.

### **Uses in Modern Management**

Behavioral science principles still hold in reward systems, training, and leadership. Theory Y holds in knowledge and creative industries, and Theory X holds in well-structured systems like production lines. Human resources, leadership training, and team dynamics take a lot from these theories with emotional intelligence and teamwork in perspective.

## **Summary**

The practice of management has been around for a while. Planning, organizing, directing, and controlling activities have been the responsibility of individuals for thousands of years. However, management has only established itself as a recognized field of study in the previous few hundred years, especially in the last century. And this study originated in the beginning of the twentieth century with the classical approach that was based on two main ideas: general administrative theory and scientific management. These theories placed an emphasis on rationality and making workers and organizations as efficient as possible. However, it neglected to take into account the social and psychological needs of employees focusing excessively on efficiency at the expense of job satisfaction. This led to the development of another approach: Behavioral Science Theory, in these theory the focus was on how psychological and social factors influence employee performance and organizational success. Although this theory considered the Social and Psychological Needs and bettered the communication and help to create better group dynamic it overemphasis human needs at the expense of organizational goals and lack universal application due to cultural differences. And for these reasons the search for a better formula for on organizational thought has hence continued beyond these theories.

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